THE SALE IS ON

» Malls changed how Indians shopped, offering a convenient, air-conditioned environment and accelerating organised retail in the country

» Over time, malls evolved from shopping centres into leisure destinations where people across income strata spent their evenings and holidays, enjoying food, movies, or game zones for kids—all in one location

» It brought international brands closer to Indian consumers

» The presence of a mall in an underdeveloped area transformed the neighbourhood into a prime location

» It led to the rise of mixed-use developments, those which include offices, residences, shopping areas, and food and beverage spaces

FROM THE ARCHIVES

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Retail Mall Entrepreneurs

business&economy RETAIL

MALL ENTREPREN EURS

Crèches, etiquette training and parking solutions are but some of the few services for which demand is growing from mall owners. With 300 new malls expected to come up by 2010, such services are proving to be solid growth opportunities for the few aspiring to make it big.

By Nandini Vaish

It's 7.30 a.m. and cleaning operations are underway at the Great India Place (GIP) mall in Noida. A dozen uniformed houseboys are darting across the floor with mops while Yanni blares in the background. Some are navigating the floors with bright-yellow cleaning machines. There is not a moment to lose. The mall opens at 11 and the 150-odd housekeeping staff have to finish tidying up the 7 lakh-sq ft mall by 10. Forty-eight-year-old Sarita Sarvria is quietly monitoring the progress of her team. She is the managing director of Express Housekeeping, which provides professional cleaning services to malls.

Business, Sarvria says, has never been better. She started her company in 1988 with the Mauve n Pink boutique in Delhi's Khan Market as her first client. Once a housekeeper with the Taj Group of Hotels, she now manages more than 20 malls and has a staff of 10,000. Her company, which has touched annual revenues of Rs 50 crore, could be the largest entrepreneur-driven housekeeping service in the country.

Forget Internet startups and IT companies. Some of the biggest areas of opportunity for aspiring entrepreneurs are the same mundane ventures that have been around for ages. An average 1 lakh-sq ft mall needs 15-20 such vendors. Besides architecture and design, there are opportunities in security, air-conditioning, plumbing and janitorial services, nurseries, grooming schools, food courts, window-pane cleaning, parking management, decoration, and more. Today, these old businesses have found a new catalyst for their growth—the mall boom.

At present, about 100 malls are operational in India covering an area of 1.9 crore sq ft. A CII-AT Kearney report estimates another 300 malls would be constructed in the country by 2010. If a single 1 lakh-sq ft mall rakes in about Rs 6 lakh worth of business for Sarvria, it could mean an opportunity of around Rs 18 crore for her alone. A report by management consultants AT Kearney estimates that organised retail in India, with a size projected to grow from Rs 50,000 crore now to Rs 2,20,000 crore by 2011, could spend about Rs 4,400 crore—around 2 per cent—on various allied services.

By providing an opportunity in such services, malls are helping small entrepreneurs get bigger and attract more business. "We are witnessing the next wave," says Colonel Ashutosh Beri, head of property and mall management at Jones Lang LaSalle Meghraj (JLLM), which manages around 80 lakh sq ft in 23 malls across India. Malls have not only spurred the growth in retail but also mall-related services. With many large mall-management companies not interested in handling smaller malls in Tier II and Tier III cities, companies such as JLLM and Knight Frank are increasingly tapping local entrepreneurs, who with their low overheads, could easily fill up this gap. Says Sanjeev Gupta, the proprietor of Mélange Mall in Meerut. "Executives of large companies do not wish to settle in small towns such as ours. Moreover, local vendors are better equipped to

<< Sarita Sarvria, 48
Express Housekeepers
Specialisation: Professional housekeeping services
Number of employees: 10,000
Revenues: Rs 50 crore per annum

THEN: Sarvria quit her job as deputy housekeeper at Hotel Taj Mansingh in Delhi and started Express Housekeepers in 1988 with Rs 15,000.

NOW: The company provides housekeeping services, including carpentry, genset maintenance and laundry services, to over 20 malls across the country.

>> Mriganka Gupta, 62 & Bhavana Banga, 35
Sri Sanskar School of Etiquette and Career Development
Specialisation: Communication training and personal grooming
Number of employees: 20
Revenues: Not available

THEN: Founded by the mother-daughter duo in 2005, the school at Noida started with the training of personnel in BPOs and the hospitality sector.

NOW: Today they have takers in several malls and train staff from housekeeping to management. Says Banga, "People need to know how soft skills get them better jobs."

▶ An average 1 lakh-sq ft mall needs 15-20 such vendors. Besides architecture and design, there are opportunities in security, air-conditioning, plumbing and janitorial services, nurseries, grooming schools, food courts, parking management, decoration and more. Today, these old businesses have found a new catalyst for their growth—the mall boom.

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tainment activities, becoming a 'go-to' destination for families, especially on weekends.

Spencer Plaza wasn't a mall in the modern sense—for one, it had no cinemas—but significantly accelerated the mall culture in India. Following in its wake were iconic ones such as Crossroads in Mumbai and Delhi's Ansal Plaza (the 'first mall in north India'), which quickly became popular hangout spots in each city. This growth has eventually extended beyond the metros to tier-II cities across the country. In fact, from just three malls in the country in 2001, the number has risen to 600-plus now (according to registrations with the Shopping Center Association of India).

260 PLUS

Number of malls in top 8 cities of India spanning across 125 mn sq. ft, according to Knight Frank (India)

DID YOU KNOW?

To dissuade window shoppers, Crossroads Mall in Mumbai initially allowed entry only to people with a credit card or mobile phone. Others had to pay admission fee of Rs 60 per head

However, considering India's burgeoning population of middle to the rich classes and their shopping appetites, the number is still relatively low. In fact, rapid expansion has seen not a few of them of them turn into 'dead malls' (a 2024 Knight-Frank India report says some 60-odd malls have less than 40 per cent occupancy and are 'dead'). Experts attribute this to the 'build-to-sale' model, where shops were sold to individual investors who in turn leased them to brands. In contrast, the global 'build-to-lease' model has a single entity that manages and leases the entire mall. In this case, the mall management ensures the retail mix offers a well-planned experience to consumers.

The lack of planning in earlier malls led to their decline. But from the 2000s on, the rise of the build-to-lease model has ushered in a new era of well-managed developments. The success of malls today lies in being 'shoppertainment' destinations, offering something for everyone. So they offer community spaces, activities for children like bungee jumping and electric car rides, and attractions for adults such as ice skating, go-karting and bowling. Reinvention is the name of the game, for keeping the interest of the notoriously fickle Indian shopper is no easy task. ■